

Fortunately, there is an answer. The most potent force that can trigger a complete rethink of corporate strategy and bring about transformational change lies in the **power of consumer franchise**. I use the term 'consumer' here in a broader sense to also encompass other market participants including Government – both as a buyer and regulator, Investors, Employees, Job-Seekers and other segments of Civil Society.

An enlightened consumer, by exercising a choice in favour of 'socially responsible' enterprises, can unleash a powerful force of incentives. A 'positive vote' for socially responsible companies, exercised through preference for a company's products and services, would change the context and dimension of meaningful CSR, create strong economic multipliers and enhance shareholder value. The implications of such consumer franchise for business will be wide ranging.

- **Consumer preference** will spur a massive movement in corporate innovation to integrate business goals with the building of societal capital.
- CSR can also emerge as a distinctive **market differentiator** and help position progressive companies more strongly in the marketplace.
- Companies will vie for consumer spend by positioning **CSR as a compelling value proposition**.
- Gains would accrue to the company and its shareholders with **increasing revenues and goodwill**.
- Where consumers go, Investors will follow. Investors will increasingly find such **socially responsible companies attractive**, given the larger market gains.
- Potential employees would also seek opportunities in such successful companies and the enterprises themselves would be **better positioned in the war for talent**.
- Competition amongst CSR exemplars would lead to a perceptible **augmentation of natural and social capital** and this would create a more sustainable future.

Thus, powerful market drivers will emerge to encourage CSR as an integral part of business strategy. In the course of time, stakeholders will build a more enduring relationship with such companies, continuously creating value for the organisation, for its shareholders and the nation.

ENLISTING CONSUMER SUPPORT

The key, therefore, lies in mobilising market participants – the most potent being the consumer – and enhancing awareness amongst them, so as to empower their decisions. We will need to ramp up consumer education substantially, so that they are made aware of the power they possess to transform society and bring in enduring social change. Government, Industry and Civil Society will need to join hands in this endeavour to give it more body, scope and reach.



Your Company made a beginning in this direction by creating a high visibility 'cause marketing' campaign involving our popular brands – '**Sunfeast**' and '**Aashirvaad**' – and highlighted the link with some of our CSR initiatives. **It was our endeavour to educate the consumer that with every spend on those brands, they would, in effect, be contributing to the Social Forestry and Watershed initiatives of your Company. You are aware that your Company's 'Classmate' brand contributes significantly towards the education of the underprivileged by earmarking a portion of its proceeds for this cause.** I am given to understand that school children actually prefer Classmate products not only for their superior quality, but also for their association with a noble cause. We are committed to enhancing these awareness campaigns, and it will be our endeavour to continuously make the consumer aware of the choice that she possesses to support such social programmes by making informed buying decisions.

It is heartening to note that worldwide, consumers are already demonstrating their preference for socially responsible products and services. In 2006, an estimated €1.6 billion worth of Fairtrade products were sold across the world, growing annually by almost 50%. This independent consumer certification mark guarantees that disadvantaged producers are getting a better deal. Today, more than 7 million people – farmers, workers and their families – across 59 developing countries benefit from the international Fairtrade system. In some cases, consumers have also demonstrated that they are willing to pay more for a product or service if it contributes to social good. These are certainly welcome developments although they occupy, as of now, a small proportion of global trade. If these individual efforts of consumers get escalated into collective action, they will certainly have a distinct impact on corporate thinking and action.

Unfortunately, the 'market for virtue' in India is practically non-existent. However, a small beginning has been made. With concerted action from policy makers and civil society, a significant

